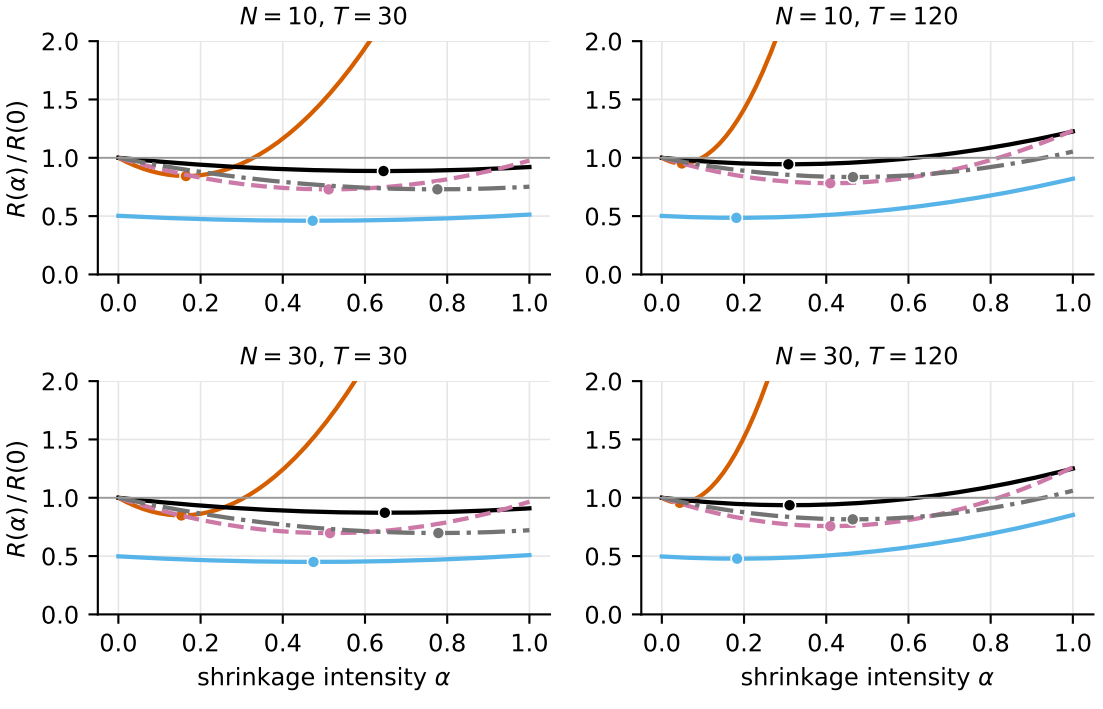
True risk curves (Gaussian data), relative to $\mathbb{E}L(S)$ on the current $T$ days; dots mark $\alpha^*$
$N = 10$, $T = 30$
$N = 10$, $T = 120$
$N = 30$, $T = 30$
$N = 30$, $T = 120$
$R(\alpha)/R(0)$
shrinkage intensity $\alpha$
$\nu I$ target
single index, in-sample $\beta$
single index, stale $\beta$ (#5)
hybrid: $\beta$ from $2T$ days
$S$ and single index on all $2T$ days